Binggrae (005180 KS)

Lackluster peak season, OPM stronger

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BUY (I)

Target price	W120,000 (I)
Previous target price	-
Current price (Oct 20)	W87,500
Upside potential	37%

Market cap (Wbn)	774
Shares outstanding	8,841,801
Avg daily T/O (2M, Wbn)	6
Avg daily volume (2M, shrs)	76,036
52-week high/low (won)	94,300 / 61,900
Foreign ownership (%)	25.23%
Dividend yield (%)	4.43%
Major shareholders	Ho-yeon Kim & others

Stock performance

(%)	1M	3M	12M
Absolute	3.2	34.2	19.9
Relative	28.1	57.5	(17.7)
Abs (US$)	7.5	49.4	28.1

3Q26 preview: likely misses consensus

We estimate Binggrae's 3Q26 consolidated sales at W472.8bn (-1.3% YoY, +6.9% QoQ) and OP at W63bn (+6.8% YoY, -9.7% QoQ, OPM 13.3%), missing consensus by 6.2% and 17.8%, respectively. Despite the peak season, frozen product sales likely declined due to weather conditions in August–September and a high base, while weak coffee, juice, and yogurt sales likely continued to weigh on the refrigerated segment. Banana Flavored Milk sales grew both domestically and overseas, but likely failed to offset the broader consumption slowdown. Exports likely continued growing, led by the US and China, although growth likely slowed due to shipments brought forward into 1H26. Lower sales of high-margin frozen products likely put upward pressure on COGS ratio, but this was partially offset by the benefits of integrated procurement and logistics and promotional cost savings following the merger with Haitai Icecream.

From cost efficiency to overseas growth

For 2026, the key development is a recovery in profitability rather than top-line growth. Following the merger with Haitai Icecream, the integration of sales networks and logistics, elimination of low-margin SKUs, and optimization of advertising and promotional spending should drive annual OP to W148.3bn (+67.8% YoY, OPM 9.7%). For 2027, we forecast sales at W1.5660tn (+2.7% YoY) and OP at W152.7bn (+3.0% YoY, OPM 9.8%). Alongside continued cost savings, the expansion of overseas sales should emerge as a new growth driver. In the US, Binggrae is broadening its product lineup beyond "Melona" to include "Samanco" and "Pangttoa," while seeking entry into major retail channels beyond Costco. However, a meaningful expansion of distribution channels will take time.

Reinstate coverage at BUY and target price of W120,000

We calculated our target price by applying a target P/E of 9x to 2027E EPS. Beyond the near-term earnings miss, the key development is the recovery of OPM from 5.9% in 2025 to the high-9% range in 2027. Cost efficiencies from the Haitai Icecream integration should support earnings, while the expansion of exports, led by the US, provides additional growth potential. We assign a BUY rating, reflecting the sustainability of margin improvements and the potential to expand overseas distribution channels.

Quarterly earnings

(Wbn)	3Q26E	% YoY	% QoQ	Consens	vs consens (%)
Sales	473	-1.3	7.0	504	-6.2
OP	63	6.8	-9.7	77	-17.8
Pre-tax net profit	64	7.8	-10.0	75	-14.5
Net profit, CI	44	-3.8	-22.6	57	-23.7
OPM (%)	13.3	+1.0 %pt	-2.5 %pt	15.2	-1.9 %pt
NPM (%)	9.2	-0.3 %pt	-3.6 %pt	11.4	-2.2 %pt

Note: CI = controlling interest

Forecasts and valuations (K-IFRS, consolidated) (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E
Sales	1,463	1,490	1,525	1,566
OP	131	88	148	153
Net profit, CI	103	56	112	115
P/E (x)	6.6	14.4	7.2	6.7
P/B (x)	0.9	1.0	0.9	0.8
EV/EBITDA (x)	2.8	4.3	2.6	2.1
ROE (%)	15.1	7.6	14.2	13.2

Source: Yuanta Securities

For analyst certification and other important disclosures, refer to the Appendix at the end of this report.

Binggrae: valuation

	Value	Note
2027E EPS (won)	12,988	(a)
Target P/E (x)	9	(b), 20% discount to global peers' 2027E P/E average
Value per share (won)	116,892	(c)=(a)*(b)
Target price (won)	120,000	-
Current price (won)	87,500	Closing price on October 20, 2026
Upside (%)	37.1	-

Source: Yuanta Securities

Peer valuation **(Wbn, $bn, EURbn)**

		Binggrae	Lotte Wellfood	General Mills (GIS)	Danone (BN)
Market cap		773.7	1,126.6	17.4	41.4
Sales	2025	1,489.6	4,216.0	18.4	27.3
	2026E	1,525.0	4,495.5	18.4	27.4
	2027E	1,566.0	4,656.3	17.7	29.4
	2028E	1,607.5	4,846.8	17.9	30.5
OP	2025	88.4	109.5	3.4	2.9
	2026E	148.3	220.8	2.7	3.6
	2027E	152.7	258.3	2.6	4.0
	2028E	128.1	297.4	2.6	4.2
OPM	2025	5.9%	2.6%	18.5%	10.8%
	2026E	9.7%	4.9%	14.9%	13.3%
	2027E	9.8%	5.5%	14.5%	13.7%
	2028E	8.0%	6.1%	14.8%	13.9%
Net profit, CI	2025	55.6	72.3	2.3	1.8
	2026E	111.9	157.7	1.8	2.4
	2027E	114.8	188.7	1.7	2.7
	2028E	96.0	213.8	1.8	2.9
P/E (x)	2025	12.9	14.8	9.5	27.2
	2026E	6.9	7.1	9.4	17.0
	2027E	6.7	6.0	10.3	15.4
	2028E	8.1	5.3	9.8	14.5

Note: based on Oct 20, 2026 closing prices; source: Bloomberg, Yuanta Securities

Binggrae: earnings table (Wbn)

	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	4Q26E	2025	2026E	2027E
Sales	**308.5**	**409.6**	**479.2**	**292.3**	**312.4**	**442.1**	**472.8**	**297.7**	**1,489.6**	**1,525.0**	**1,566.0**
Refrigerated	**144.2**	**148.0**	**152.2**	**143.9**	**138.2**	**147.1**	**149.1**	**140.6**	**588.3**	**575.0**	**563.1**
Frozen and other	**164.3**	**261.6**	**327.0**	**148.3**	**174.2**	**295.0**	**323.7**	**157.1**	**901.3**	**950.0**	**1,002.9**
Separate sales	**285.1**	**350.4**	**406.4**	**270.6**	**286.7**	**412.8**	**467.3**	**280.1**	**1,312.4**	**1,446.8**	**1,507.0**
Domestic	239.0	299.7	369.1	232.6	233.2	354.6	423.7	232.5	1,140.3	1,244.1	1,270.9
Exports	46.1	50.7	37.3	38.0	53.4	58.2	43.6	47.5	172.2	202.8	236.1
Subsidiaries	62.5	106.4	113.6	49.8	69.6	64.5	39.0	31.5	332.2	204.6	222.9
China	8.3	9.8	8.7	7.9	10.4	13.4	11.6	7.8	187.6	21.6	-
US	21.0	41.2	19.2	15.5	33.7	47.5	22.5	20.9	34.6	43.2	48.6
Vietnam	2.9	3.7	4.2	2.2	4.0	3.6	4.9	2.8	97.0	124.5	156.5
Consol adj	-39.0	-47.1	-40.7	-28.2	-43.9	-35.2	-33.5	-13.8	13.0	15.3	17.8
Growth (% YoY)	***2.5%***	***0.5%***	***3.3%***	***0.5%***	***1.3%***	***7.9%***	***-1.3%***	***1.9%***	***1.8%***	***2.4%***	***2.7%***
Refrigerated	***-5.8%***	***-5.8%***	***-4.4%***	***-1.5%***	***-4.1%***	***-0.6%***	***-2.1%***	***-2.3%***	***-4.4%***	***-2.3%***	***-2.1%***
Frozen and other	***11.2%***	***4.5%***	***7.3%***	***2.4%***	***6.0%***	***12.7%***	***-1.0%***	***5.9%***	***6.3%***	***5.4%***	***5.6%***
Separate sales	***3.1%***	***3.4%***	***6.7%***	***3.0%***	***0.6%***	***17.8%***	***15.0%***	***3.5%***	***4.3%***	***10.2%***	***4.2%***
Domestic	*2.8%*	*0.7%*	*6.9%*	*1.4%*	*-2.4%*	*18.3%*	*9.0%*	*0.0%*	*3.2%*	*9.1%*	*2.2%*
Exports	*4.9%*	*23.0%*	*5.1%*	*14.0%*	*15.8%*	*14.7%*	*17.0%*	*25.0%*	*11.8%*	*17.8%*	*16.4%*
Subsidiaries	*8.9%*	*-1.9%*	*-3.0%*	*-0.2%*	*11.5%*	*-39.4%*	*-65.7%*	*-36.8%*	*-0.2%*	*-38.4%*	*8.9%*
China	*1.9%*	*-16.6%*	*-0.6%*	*-7.4%*	*-28.7%*	-	-	-	*-6.1%*	*-88.5%*	*0.0%*
US	*-21.7%*	*-20.5%*	*-20.9%*	*-3.9%*	*25.1%*	*36.8%*	*34.0%*	*-1.0%*	*-17.7%*	*24.7%*	*12.6%*
Vietnam	*39.4%*	*32.6%*	*-7.6%*	*15.3%*	*60.3%*	*15.1%*	*17.0%*	*35.0%*	*20.6%*	*28.4%*	*25.6%*
Consol adj	*45.6%*	*20.1%*	*23.3%*	*4.4%*	*38.8%*	*-2.7%*	*16.8%*	*25.0%*	*22.8%*	*17.6%*	*16.5%*
Sales mix (%)											
Refrigerated	**46.7%**	**36.1%**	**31.8%**	**49.2%**	**44.2%**	**33.3%**	**31.5%**	**47.2%**	**39.5%**	**37.7%**	**36.0%**
Frozen and other	**53.3%**	**63.9%**	**68.2%**	**50.8%**	**55.8%**	**66.7%**	**68.5%**	**52.8%**	**60.5%**	**62.3%**	**64.0%**
Separate sales	**92.4%**	**85.5%**	**84.8%**	**92.6%**	**91.8%**	**93.4%**	**98.8%**	**94.1%**	**88.1%**	**94.9%**	**96.2%**
Domestic	83.8%	85.5%	90.8%	85.9%	81.4%	85.9%	90.7%	83.0%	86.9%	86.0%	84.3%
Exports	16.2%	14.5%	9.2%	14.1%	18.6%	14.1%	9.3%	17.0%	13.1%	14.0%	15.7%
Subsidiaries	21.9%	30.4%	27.9%	18.4%	24.3%	15.6%	8.3%	11.2%	25.3%	14.1%	14.8%
China	9.8%	12.6%	17.0%	8.3%	6.9%	-	0.0%	0.0%	12.6%	1.4%	0.0%
US	2.7%	2.4%	1.8%	2.7%	3.3%	3.0%	2.5%	2.6%	2.3%	2.8%	3.1%
Vietnam	6.8%	10.1%	4.0%	5.3%	10.8%	10.7%	4.8%	7.0%	6.5%	8.2%	10.0%
Consol adj	0.9%	0.9%	0.9%	0.8%	1.3%	0.8%	1.0%	0.9%	0.9%	1.0%	1.1%
OP	**13.5**	**26.8**	**58.9**	**-10.9**	**13.8**	**69.7**	**63.0**	**1.8**	**88.4**	**148.3**	**152.7**
Growth (% YoY)	*-36.1%*	*-40.3%*	*-8.9%*	*TTR*	*2.3%*	*159.9%*	*6.8%*	*TTB*	*-32.7%*	*67.8%*	*3.0%*
OPM (%)	**4.4%**	**6.6%**	**12.3%**	**-3.7%**	**4.4%**	**15.8%**	**13.3%**	**0.6%**	**5.9%**	**9.7%**	**9.8%**

Note: TTR = turn to red, TTB = turn to black; source: Yuanta Securities

Binggrae (005180 KS) pro forma financial statements (K-IFRS, consolidated)

Statement of comprehensive income

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Sales	**1,463**	**1,490**	**1,525**	**1,566**	**1,607**
Cost of sales	994	1,056	1,064	1,064	1,118
Gross profit	469	434	461	502	490
SG&A	338	345	312	349	362
Operating profit	**131**	**88**	**148**	**153**	**128**
EBITDA	194	152	207	211	187
Non-operating profit	2	-6	3	5	6
Forex gains	2	-1	1	1	1
Net interest income	3	2	3	5	7
Equity-method gains	0	0	0	0	0
Other	-3	-7	-2	-2	-2
Net prof before income tax	133	83	151	158	134
Income tax	30	27	39	43	38
Net profit from continuing ops	103	56	112	115	96
Net profit from discontinued ops	0	0	0	0	0
Net profit	103	56	112	115	96
NP for controlling interest	**103**	**56**	**112**	**115**	**96**
Total comprehensive income	103	51	114	117	98
Total comprehensive income, CI	103	51	114	117	98

Statement of financial position

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Current assets	**474**	**520**	**617**	**706**	**771**
Cash & cash equivalents	175	134	222	300	355
Accounts receivables & other	87	75	78	80	82
Inventory	135	163	166	171	175
Non-current assets	529	549	542	544	550
Tangible assets	393	406	406	409	416
Investment in affiliates	0	0	0	0	0
Other investment assets	19	20	20	20	20
Total assets	**1,003**	**1,069**	**1,158**	**1,250**	**1,321**
Current liabilities	224	186	190	195	200
Accounts payable & other	129	148	151	155	159
ST financial liabilities	55	1	1	1	1
Liquid LT liabilities	4	3	3	3	3
Non-current liabilities	57	139	140	141	142
LT financial liabilities	3	0	0	0	0
Debentures	0	70	70	70	70
Total liabilities	**281**	**325**	**330**	**336**	**342**
Equity, controlling interest	722	744	828	914	979
Paid-in capital	50	50	50	50	50
Capital surplus	65	65	65	65	65
Retained earnings	631	645	728	811	875
Equity, non-controlling interest	0	0	0	0	0
Total equity	**722**	**744**	**828**	**914**	**979**
Net debt	**-148**	**-152**	**-242**	**-324**	**-382**
Total debt	99	124	125	125	126

Cash flow statement

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Operating cash flow	**147**	**114**	**168**	**167**	**147**
Net profit	103	56	112	115	96
Depreciation & amortization	53	56	56	57	58
Forex gains	0	0	-1	-1	-1
Affiliate investment gains	0	0	0	0	0
Increase in net working cap	-28	-12	-14	-14	-14
Other	20	14	15	11	9
Investing cash flow	**-124**	**-116**	**-50**	**-53**	**-56**
Investment	5	0	0	0	0
Increase in tangible assets	-89	-51	-55	-60	-65
Decrease in tangible assets	2	1	0	0	0
Other	-42	-65	6	7	9
Financing cash flow	**4**	**-39**	**-67**	**-68**	**-70**
ST financial liabilities	55	-54	0	0	0
Debenture/LT financial liabilities	-4	79	0	0	0
Equity	0	0	0	0	0
Cash dividend	-23	-29	-29	-31	-33
Other cash flow	-24	-35	-38	-38	-38
Consolidation adj and other	0	0	36	33	33
Increase in cash & equivalents	**27**	**-41**	**87**	**79**	**54**
Beginning cash & equivalents	148	175	134	222	300
Ending cash & equivalents	175	134	222	300	355
NOPLAT	131	88	**148**	**153**	**128**
FCF	**59**	**63**	**113**	**107**	**82**

Valuation

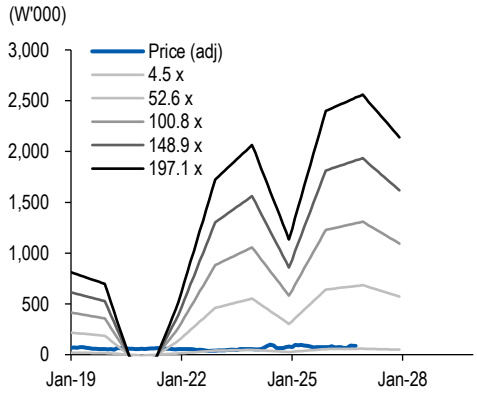
FY ends Dec	2024A	2025A	2026E	2027E	2028E
EPS (won)	10,479	5,757	12,180	12,988	10,863
BPS (won)	81,640	84,119	93,685	103,378	110,746
EBITDA/shr (won)	19,689	15,765	22,540	23,813	21,122
SPS (won)	148,513	154,328	165,922	177,118	181,803
DPS (won)	3,300	3,300	3,500	3,700	3,900
P/E (x)	**6.6**	**14.4**	**7.2**	**6.7**	**8.1**
P/B (x)	**0.9**	**1.0**	**0.9**	**0.8**	**0.8**
EV/EBITDA (x)	**2.8**	**4.3**	**2.6**	**2.1**	**2.1**
P/S (x)	**0.5**	**0.5**	**0.5**	**0.5**	**0.5**

Key financial data

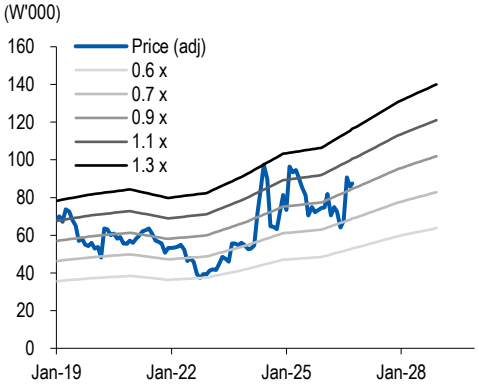
FY ends Dec	2024A	2025A	2026E	2027E	2028E
Sales (% YoY)	**4.9**	**1.8**	**2.4**	**2.7**	**2.6**
Operating profit (%YoY)	**17.0**	**-32.7**	**67.8**	**3.0**	**-16.2**
Net profit, CI (%YoY)	**19.7**	**-46.2**	**101.5**	**2.6**	**-16.4**
Gross margin (%)	32.0	29.1	30.2	32.1	30.5
Operating margin (%)	**9.0**	**5.9**	**9.7**	**9.8**	**8.0**
Net margin, CI (%)	7.1	3.7	7.3	7.3	6.0
EBITDA margin (%)	13.3	10.2	13.6	13.4	11.6
ROIC (%)	21.0	11.6	21.4	21.6	17.5
ROA (%)	10.9	5.4	10.1	9.5	7.5
ROE (%)	**15.1**	**7.6**	**14.2**	**13.2**	**10.1**
Debt-to-equity (%)	39.0	43.7	39.9	36.8	34.9
Net debt-to-equity (%)	-20.5	-20.5	-29.2	-35.5	-39.0
OP/financing cost (x)	43.9	23.8	35.8	36.7	30.7

Note: CI = controlling interest
Operating profit calculation same as K-GAAP (sales - COGS - SG&A exp)
EPS, BPS, P/E and P/B are based on controlling interest
For valuation metrics such as P/E, historical figures are based on annual average prices and estimates, on current price
For ROA or ROE, assets and equity are averages of end-of-year figures for the given year and the year prior
Source: Yuanta Securities

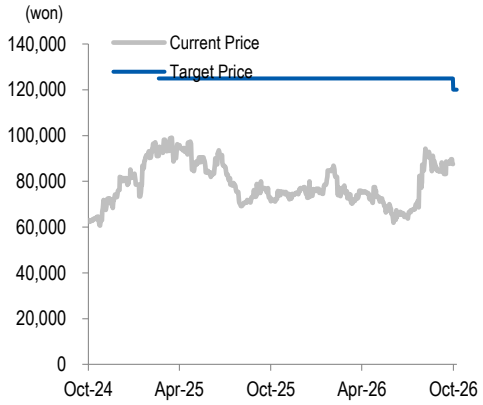
P/E band chart



P/B band chart



Binggrae (005180 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/10/21	BUY	120,000	1 yr		
2026/03/11	After 1yr		1 yr	-39.75	-24.56
2025/03/11	BUY	125,000	1 yr	-34.99	-20.80

Note: Difference = (actual price* - target price) / target price x 100
* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested
Source: Yuanta Securities

Rating	Share (%)
STRONG BUY	0
BUY	96.9
HOLD	3.1
SELL	0
Total	100.0

Note: As of Oct 21, 2026 Excluding reports written or published by overseas affiliates

Appendix: Important disclosures

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I/We, as the research analyst/analysts who prepared this research report, do hereby certify that the views expressed in this report accurately reflect my/our personal views about the subject securities discussed in this report.

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- **Stock ratings** include an Investment Rating (Strong Buy, Buy, Hold, Sell) based on the expected absolute return of a stock over the next 6 -12 months.
- **- Strong Buy:** Expected to return 30% or more
  - Buy: Expected to return between 15% and 30%
  - Hold: Expected to return between -15 and +15%
  - Sell: Expected to return -15% or less
- **Sector ratings** suggest 6 to 12 - month forward investment weighting of a given sector compared to its market capitalization weighting.
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  - Neutral: Investment weighting is equal to the market capitalization weighting
  - Underweight: Investment weighting is lower than the market capitalization weighting

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